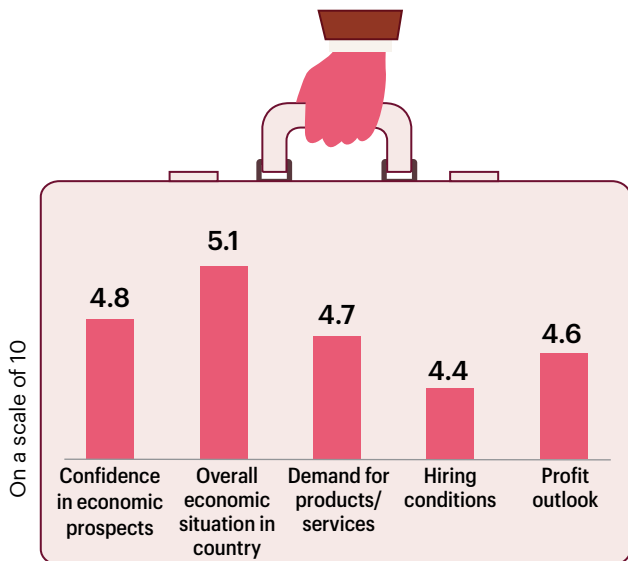


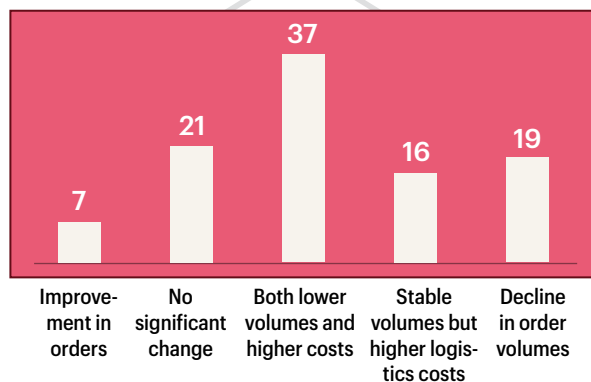
INDIA INC'S OUTLOOK FOR Q1FY27

ECONOMY • BCI



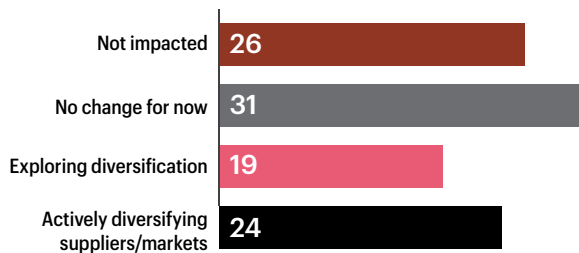
Export Performance

How has your export business performed/ been impacted in March-April?



Supply Chain Strategy

In response to ongoing geopolitical risks, what is your strategy for the coming quarter? (%)



Source The BT-C Fore Business Confidence Survey of 500 CEOs or CFOs representing various industries and company sizes across 12 cities—Delhi, Mumbai, Chennai, Hyderabad, Bengaluru, Kolkata, Chandigarh, Lucknow, Nagpur, Kochi, Visakhapatnam and Bhubaneswar—was conducted between March 24 and April 6

Started 15 years ago, the BT-C Fore Business Confidence Survey first captured the mood of India Inc for the January to March 2011 quarter. Over the years, companies were primarily asked about their confidence based on the previous quarter and outlook for the upcoming quarter.

The revamped survey now looks ahead and assesses confidence and plans of businesses in the upcoming quarter. While the aim and design of the survey remain largely the same, the BCI is now nimbler, to better capture the mood of India Inc in an era of rapid change and volatility in the global and domestic economic and political order.

The latest survey was conducted between March 24 and April 6 as the war between the US-Israel alliance and Iran had waged on for over a month. It revealed that confidence across businesses—be it size of industry or sector—was below the 50 mark for Q1. Among sectors, it was the lowest for light industries, comprising segments such as food and beverages, textiles, leather and paper, with a reading of 46.5. In terms of size, micro enterprises were the least confident, with a reading of 46.3.

Highlighting the challenges thrown up by the West Asia conflict, Finance Minister Nirmala Sitharaman recently said it has evolved from a regional security concern into a systemic tremor and is threatening the vital arteries of global energy and hardening the lines of a new, multipolar world order.

Starting with the blockade of the Strait of Hormuz that led to delayed shipments, the war quickly expanded into an energy shock as oil and gas imports from the region ground to a near standstill. Then there were disruptions in supplies of critical raw materials, including petrochemicals. While the government is striving to improve and normalise supplies, prices have risen, increasing troubles for India Inc.

Reserve Bank of India (RBI) Governor Sanjay Malhotra also noted that the conflict is likely to impede growth. "Higher input costs associated with increase in energy prices and international freight and insurance costs, along with supply-chain disruptions that would constrain the availability of key inputs for downstream sectors, would impair growth," he said after the Monetary Policy Committee (MPC) meeting in April. The six-member MPC has lowered gross domestic product (GDP) growth projection to 6.9% for FY27 and hiked the retail inflation forecast to 4.6% from 2.1% in FY26.

High frequency data for March, including that of inflation and trade, already reflect the impact of the war with prices rising and both exports and imports dipping due to the blockade of the Strait of Hormuz.

Meanwhile, El Niño and a below average monsoon